Whitley Stimpson

CHARTERED ACCOUNTANTS

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Our Ref: MW/CY5007/KH

5th April 2005

M. Durbin, Esq.,
Cykor Systems Ltd.,
104 Bath Road,
Banbury,
Oxon.,
OX16 0TR.

Dear Mark,

In accordance with the regulations of the Institute of Chartered Accountants in England and Wales, I am enclosing two copies of our engagement letter setting out the terms on which I am to act for you. Would you please sign and date the copy marked 'Office' and return to me in the pre-paid envelope attached. The second copy is for your retention.

I anticipate that my annual costs will be as follows:-

	(Excl. VAT)
• Preparation of company's annual accounts	£750
• Corporation tax computation and CT600 annual return	£250
• Preparation of Self-Assessment Return	£200

The monthly payroll administration charge will be £35 plus VAT. In addition there will be the following charges:-

• Setting-up PAYE scheme and payroll	£100 (plus VAT)
• Completion of year end P35 and P60 Returns (due May 2006)	£100 (plus VAT)

The payroll charges will be invoiced to you each quarter.

I will get my manager Janette Curry to contact you soon to go through the bookkeeping requirements with you. Once the company begins to generate income please contact me in order that we can commence the payroll work.

If you have any queries please do not hesitate to contact me.

With kind regards.

Yours sincerely

Martin Wyatt

Enc:

PARTNERS
Alan Prickett FCA • Malcolm Higgs FCA • Nicholas Bullen FCA • Martin Wyatt FCA • Martin Anson FCA
Val Buzzard FCCA

Registered to carry on audit work and regulated for a range of investment business activites by the Institute of Chartered Accountants in England and Wales
A Member of Moores Rowland International, an association of independent accounting firms throughout the world



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5th April 2005

The Directors,
Cykor Systems Limited,
104 Bath Road,
Banbury,
Oxon.,
OX16 0TR.

Dear Sirs,

Terms of Engagement

The purpose of this letter is to set out the basis on which we are engaged to act as accountants to the company and the respective responsibilities of the directors and of ourselves.

We are bound by the ethical guidelines of the Institute of Chartered Accountants in England and Wales, and accept instructions to act for you on the basis that we will act in accordance with those ethical guidelines.

We will provide our professional services outlined in this letter with reasonable care and skill. However, we will not be responsible for any losses, penalties, surcharges, interest or additional tax or other liabilities arising from the supply by you or others of incorrect or incomplete information, or your or others' failure to supply any appropriate information or your failure to act on our advice or to respond promptly to communications from us or the tax or other authorities.

1. **Your responsibilities of the directors**

1.1 As directors of the company, you are responsible for ensuring that the company maintains proper accounting records and for preparing accounts which give a true and fair view and which have been prepared in accordance with the Companies Act 1985. In preparing those accounts, you are required to:

(a) select suitable accounting policies and then apply them consistently;
(b) make judgements and estimates that are reasonable and prudent; and
(c) prepare the accounts on the going concern basis unless it is inappropriate to presume that the company will continue in business.

1.2 You are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the company and to enable them to ensure that the financial statements comply with the Companies Act 1985 (the Act). You are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities

1.3 You are responsible for determining whether, in respect of the year, the company meets the conditions for exemption from an audit of the accounts set out in section 249A(1) of the Act, namely that:

(a) it qualifies as a small company in relation to that year for the purposes of section 247;
(b) its turnover in that year is not more than £5.6 million; and
(c) its balance sheet total for the year is not more than £2.8 million.

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PARTNERS
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1.4 You are responsible for determining whether, in respect of the year, the exemption is not available for any of the reasons set out in section 249B of the Act; namely that at no time during the year was the company:

(a) a public company;
(b) a person that had permission under Part 4 of the Financial Services and Markets Act to carry on a regulated activity;
(c) carrying on an insurance market activity;
(d) enrolled in the list maintained by the Insurance Brokers Registration Council under section 4 of the Insurance Brokers Registration Act 1977;
(e) an appointed representative, within the meaning of section 39 of the Financial Services and Markets Act 2000.
(f) a special register body as defined in section 117(1) of the Trade Union and Labour Relations (Consolidation) Act 1992 or an employers' association as defined in section 122 of that Act;
(g) a member of a group that exceeded the group exemption limits; or
(h) a member of an ineligible group.

1.5 The exemption is available only if you, as directors, sign a declaration on the balance sheet to stating that:

(a) for the year in question, the company is eligible to take advantage of the audit exemptions;
(b) the members have not required the company to obtain an audit of its financial statements for the year in accordance with section 249B(2) of the Companies Act 1985; and
(c) you acknowledge your obligations to keep proper accounting records and to prepare financial statements which give a true and fair view of the state of the company's affairs and of its profit or loss for the period.

1.6 You have undertaken to make available to us, as and when required, all the company's accounting records and related financial information, including minutes of management and shareholders' meetings, necessary to carry out our work. You will make full disclosure to us of all relevant information.

2. Our responsibilities as accountants

2.1 As the company is totally exempt from audit, we have no statutory responsibilities to the company at all. Our only responsibilities arise from those specifically agreed upon between us in respect of other professional services.

2.2 We do not have any responsibility to report whether any shareholder of the company has notified the company that he or she requires an audit. Consequently we have no responsibility to carry out any work in respect of this matter.

2.3 Should our work indicate that the company is not entitled to exemption from an audit of the financial statements, then we will inform you of this. In these circumstances, if appropriate, we will discuss with you the need to appoint us as auditors.

2.4 We have a professional duty to prepare financial statements that conform to generally accepted accounting principles. Furthermore, as directors, you have a duty to prepare financial statements that comply with the Companies Act 1985 and applicable accounting standards. Where we identify that the financial statements do not conform to accepted accounting principles or if the accounting policies adopted are not immediately apparent, this will be made clear in our report, if it is not clear in the financial statements.

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3. Scope of work

3.1 Our work will not be an audit of the financial statements in accordance with Auditing Standards. Accordingly, we will not obtain any evidence relating to entries in the accounting records, or to the financial statements or to the disclosures in the financial statements. Nor will we make any assessment of the estimates and judgements made by you in the preparation of the financial statements. Consequently our work will not provide any assurance that the accounting records or the financial statements are free from material misstatement, whether caused by fraud, or other irregularities or error. In addition, we have no responsibility to determine whether you have maintained proper accounting records in accordance with section 221 of the Act and we will not address this point unless you specifically request us in writing to do so.

3.2 Since we have not carried out an audit, nor confirmed in any way the accuracy or reasonableness of the accounting records maintained by the company, we are unable to provide any assurance as to whether the financial statements that we prepare from those records present a true and fair view.

3.3 As part of our normal procedures when preparing the financial statements, we will attach an accountant's report to them. This report will state that they have been prepared from the books and records of the company and from information supplied by the directors. This report should not be filed with the financial statements at Companies House.

3.4 As part of our normal procedures we may request you to provide written confirmation of any information or explanations given to us orally during the course of our work.

4. Accounting, taxation and other services

4.1 We shall carry out the following services as your agents on the basis that you make full disclosure to us of all relevant information.

4.2 We shall prepare the statutory accounts based on the accounting records maintained by you.

4.3 We shall provide the following assistance to the company secretary

(a) submit the accounts to the Registrar of Companies within the required period of ten months of the year end, provided that all your records are complete and presented to us within six months of the year end, and all subsequent queries are promptly and satisfactorily answered;

(b) complete and submit the company's annual return;

(c) complete and submit any other forms required by law to be filed at Companies House, provided that you keep us fully informed of any relevant changes or events which are required to be notified to Companies House, within one week of the change or event; and

(d) maintain the statutory books.

4.4 We shall investigate irregularities and fraud upon receiving specific instructions.

(continued over....)

4.5 (a) We have agreed to prepare on your behalf the company's corporation tax self-assessment return, which is required under tax legislation. You are legally responsible for making correct returns and for payment of tax on time.

(b) We will forward to you the corporation tax self-assessment tax return and supporting schedules for your approval and signature. Once the return has been approved and signed and returned to us, we will submit it to the Inland Revenue. You understand that the filing of the return creates a legal charge without further action by the Inland Revenue.

(c) We will advise you of the corporation tax payments that are due, and the due date of payment. Should the company's taxable profits exceed £1.5 million per annum, you will be required to make quarterly instalment payments commencing six and a half months into the accounting period. Interest will be charged on instalments paid late and credited on those paid early.

(d) We will agree the company's liability to corporation tax should the Inland Revenue challenge the corporation tax self-assessment return.

(e) There are strict time limits and penalties relating to the requirement to make returns and certain elections and claims. In order to avoid these penalties, we will produce statutory accounts within the required period provided that all your records are complete and presented to us within six months of the year-end and all subsequent queries are promptly and satisfactorily answered.

(f) To enable us to carry out our work you agree:

(i) to make a full disclosure to us of all sources of income, charges, allowances and capital transactions and to provide full information necessary for dealing with the company's affairs. We will rely on the information and documents being true, correct and complete;

(ii) to respond quickly and fully to our requests for information and to other communications from us;

(iii) to forward to us on receipt copies of all statements of account, letters and other communications received from the Inland Revenue to enable us to deal with them as may be necessary within the statutory time limits.

(g) Where the company makes a loan to a participator, such as a shareholder, tax is payable. We can only be responsible for advising you of the tax payable if you notify us of details of such loans.

(h) It is your responsibility to notify us of any engagements that you consider may fall within the scope of the regulations known as 'IR35'. The regulations became effective from 6 April 2000.

The application of the rules that determine whether an engagement is relevant to IR35 is very subjective, and is therefore open to different interpretations. For this reason this firm cannot accept any responsibility for the final decision made in respect of whether a particular engagement does or does not fall within the scope of IR35. In borderline cases we can only advise that an application is made to the Inland Revenue to give a ruling based on the facts of each engagement.

In order to allow us to complete the necessary work each year to determine if any additional tax liability arises from the application of IR35 to your situation, it is essential that you provide us with sufficient, accurate and complete accounting records that allow us to identify all the IR35 relevant sales receipts and expenditure for the year ending 5th April each year. Unless we receive these records by the 8th April, we shall be unable to complete the necessary work in order to advise you on how much additional tax, if any, you may be required to pay by the 19th April.

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4.6 You will be responsible, unless otherwise agreed, for all other returns, more particularly:- the returns of tax deducted at source as required on forms CT61, returns relating to employee taxes under PAYE and returns of employee expenses and benefits on forms P11D. You will be responsible for dealing with all returns and other requirements in relation to value added tax.

4.7 We shall be pleased to advise you on matters relating to the company's corporation tax liability, the implications of particular business transactions and on other taxation matters which you refer to us, such as national insurance, income tax deducted at source, employee benefits, value added tax and inheritance tax.

4.8 We are able to offer fee protection insurance to cover the cost of our fees arising from Inland Revenue investigations. If you would like further details of this service please let us know.

5. Investment services

5.1 Although we are not authorised by the Financial Services Authority to conduct Investment Business, we are licensed by the ICAEW to provide certain limited investment services where these are complementary to, or arise out of, the professional services we are providing to you.

5.2 In particular, we may:

- advise you on investments generally, but not recommend a particular investment or type of investment;
- refer you to an Permitted Third Party (PTP) (an independent firm authorised by the FSA), assist you and the authorised third party during the course of any advice given by that party and comment on, or explain, the advice received (but not make alternative recommendations). The PTP will issue you with his own terms and conditions letter, will be remunerated separately for his services and will take full responsibility for compliance with the requirements of the Financial Services and Markets Act 2000. The firm may receive commission from such an introduction, in which case you will be fully informed of the expected size and nature of such commission at the time of the introduction.
- assist you in making arrangements for transactions in investments in certain circumstances;
- advise and assist you in transactions concerning shares or other securities not quoted on a recognised exchange; and
- manage investments or act as trustee (or donee of a power of attorney) where decisions to invest are taken on the advice of an authorised person.

5.3 We may also, on the understanding that the shares or other securities of the company are not publicly traded:

- advise the company, existing or prospective shareholders in relation to exercising rights, taking benefits or share options valuation and methods;
- arrange any agreements in connection with the issue, sale or transfer of the company's shares or other securities;
- arrange for the issue of the new shares; and
- act as the addressee to receive confirmation of acceptance of offer documents etc.

5.4 If you are dissatisfied in any way about our services described in this section, you should follow the procedures set out in the 'Help us to give best advice' section of this letter and, if in the unlikely event that we cannot meet our liabilities to you, you may be able to claim compensation under the Chartered Accountants Compensation Scheme.

6. Quality Management System

6.1 The firm has a quality management system. Under this system your files may be subject to selection under a compliance sampling review, in which case all the information in your files will be treated in the strictest confidence. We assume that your agreement to the terms of this letter signifies that you have no objection to your files being made available for review.

(continued over....)

7. **Retention of and access to records**

7.1 During the course of our work we will collect information from you and others acting on your behalf and will return any original documents to you following the preparation of your accounts.

7.2 Whilst certain documents may legally belong to you, we intend to destroy correspondence and other papers that we store which are more than seven years old, other than documents which we consider to be of continuing significance. If you require retention of any document you must notify us of that fact in writing.

8. **Fees**

8.1 Our fees are computed on the basis of the time spent on your affairs by the partners and our staff, and on the levels of skill and responsibility involved. Unless otherwise agreed, our fees will be charged separately for each of the main classes of work described above, will be billed at appropriate intervals during the course of the year, and will be due on presentation. We retain the right to charge interest on amounts outstanding at the rate of 4% above bank base rate.

8.2 Cash will not be accepted in payment for services rendered. All fees should be paid by cheque or, preferably, by bank transfer.

9. **Help us to give best advice**

9.1 If at any time you would like to discuss with us how our service to you could be improved please let us know by telephoning Mr. Martin Wyatt.

9.2 If you are dissatisfied with the service you are receiving please let us know by either telephoning this office and speaking to the duty partner, or by writing to this office clearly marking your letter for the attention of the duty partner.

9.3 We undertake to look into any complaint carefully and promptly and to do all we can to explain the position to you. If we have given a less than satisfactory service we will undertake to do everything reasonable to put it right.

9.4 We would advise you that should it not be possible to resolve your complaint satisfactorily you have the right to pass your complaint to the Institute of Chartered Accountants in England and Wales.

10. **Applicable law**

10.1 This engagement letter shall be governed by and construed in accordance with English Law. The courts of England shall have exclusive jurisdiction in relation to any claim, dispute or difference concerning the engagement letter and any matter arising from it. Each party irrevocably waives any right it may have to object to an action being brought in those Courts, to claim that the action has been brought in an inconvenient forum, or to claim that those Courts do not have jurisdiction.

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11. Electronic communication

11.1 Internet communications are capable of data corruption and therefore we do not accept any responsibility for changes made to such communications after their despatch. It may therefore be inappropriate to rely on advice contained in an e-mail without obtaining written confirmation of it. We do not accept responsibility for any errors or problems that may arise through the use of internet communication and all risks connected with sending commercially sensitive information relating to your business are borne by you. If you do not agree to accept this risk, you should notify us in writing that e-mail is not an acceptable means of communication.

11.2 It is the responsibility of the recipient to carry out a virus check on any attachments received.

12. Data Protection Act 1998

12.1 We may obtain, use, process and disclose personal data about you in order that we may discharge the services agreed under this engagement letter, and for other related purposes including updating and enhancing client records, analysis for management purposes and statutory returns, crime prevention and legal and regulatory compliance. You have a right of access, under data protection legislation, to the personal data that we hold about you. For the purposes of the Data Protection Act 1998, the Data Controller in relation to personal data supplied about you is Whitley Stimpson.

13. Contracts (Rights of Third Parties) Act 1999

13.1 Persons who are not party to this agreement shall have no rights under the Contracts (Rights of Third Parties) Act 1999 to enforce any term of this agreement. This clause does not effect any right or remedy of any person which exists or is available otherwise than pursuant to that Act.

14 Money laundering

14.1 We have a duty under section 330 of the Proceeds of Crime Act 2002 to report to the National Criminal Intelligence Service (NCIS) if we know, or have reasonable cause to suspect, that you, or anyone connected with your business, are or have been involved in money laundering. Failure on our part to make a report where we have knowledge or reasonable grounds for suspicion would constitute a criminal offence.

14.2 The offence of money laundering is defined by section 340(11) of the Proceeds of Crime Act and includes the acquisition, possession or involvement in arrangements for concealing the benefits of *any* activity that constitutes a criminal offence in the UK. This definition is very wide and would include:

- tax evasion through deliberate understatement of income or overstatement of expenses or stocks; or
- deliberate failure to inform the tax authorities of known underpayments.

14.3 We are obliged by law to report to NCIS without your knowledge and consent and in fact we would commit the criminal offence of tipping off under section 333 of the Proceeds of Crime Act were we to inform you of any suspicions or that a report had been made.

14.4 We are not required to undertake work for the sole purpose of identifying suspicions of money laundering. We shall fulfil our obligations under the Proceeds of Crime Act 2002 in accordance with the guidance published by the Institute of Chartered Accountants of England and Wales.

(continued over....)

15. **Agreement of terms**

15.1 Once it has been agreed, this letter will remain effective until it is replaced. We shall be grateful if you would confirm in writing your agreement to the terms of this letter, by signing the office copy as approved, or let us know if they are not in accordance with your understanding of our terms of engagement.

Yours faithfully

Whitley Stimpson

Whitley Stimpson

We confirm that we have read and understood the contents of this letter and agree that it accurately reflects our understanding of the services we require you to provide.

Signed for and on behalf of the Board

6/4/05

Date